

Preparing Your Tax Return

The average person is more than capable of completing Form 1040EZ and Form 1040A (the short form). Form 1040 (the long form) is definitely more challenging but is much less so thanks to the availability of robust tax preparation software programs and online services. The biggest requirement is time.

Types of Federal Tax Return Forms

There are three versions of the U.S. Individual Income Tax Return Form 1040:

- **Form 1040EZ:** The simplest form, for those under age sixty-five with no dependents, no itemized deductions, no more than \$1,500 of taxable interest income, no advance earned-income tax credit (EITC), and taxable income from line six of less than \$100,000. There are a few other little caveats, so be sure to read the instructions with the form to make sure you qualify to use the form.
- **Form 1040A:** Only slightly more difficult to complete than the 1040EZ. You can use this form if you don't itemize deductions, your taxable income is less than \$100,000, you claim only certain tax credits (see the form instructions for a list), and you had income from only the following sources: wages, salaries, and tips; interest and ordinary dividends; capital gains; taxable scholarship and fellowship grants; pensions, annuities, and IRAs; unemployment compensation; taxable social security; Alaska permanent fund dividends.
- **Form 1040 (the long form):** Nearly three-quarters of all taxpayers use this form. There are a number of special circumstances that require you to use the long form, so be sure to read the instructions.

Using Tax Software on Your PC